

Finance

Question Booklet

Past HSC and trial questions from your Drive, screenshotted exactly as they appeared and sorted by syllabus dot point.

SECTION	QUESTIONS			
Section A — Multiple choice	Q1–18	18 questions	18 marks	p. 3
Section B — Short answer	Q19–47	29 questions	98 marks	p. 10
Section C — 20-mark questions	Q48–49	2 questions	40 marks	p. 32

How to use this booklet

1. **Section A** – multiple choice: circle one answer (about 1.5 min each).
2. **Section B** – short answers, grouped by the syllabus in the same order as your notes. Each question shows its source paper, marks and the dot point it tests. Write on the lines (about 1.8 min per mark).
3. **Section C** – the 20-mark questions are on the last pages: plan in the box, then write in full on separate paper.
4. Check every answer in the matching **Answer Booklet** – question numbers are identical.
5. Tick off the **Syllabus map** (next page) as you master each dot point.

Syllabus map

Every dot point in the syllabus (as in your notes) and the questions in this booklet that test it. Tick each one off once you can answer its questions confidently.

CODE	SYLLABUS DOT POINT	QUESTIONS	✓
F1a	Strategic role of financial management	Q19	☐
F1b	Objectives of financial management – profitability, growth, efficiency, liquidity, solvency; short-term and long-term	Q1, Q2, Q19, Q20, Q21, Q22, Q35, Q49	☐
F1c	Interdependence (finance) with other key business functions	Q23, Q48	☐
F2a	Internal sources of finance – retained profits	Q24	☐
F2b	External sources of finance – debt (short-term: overdraft, commercial bills, factoring; long-term: mortgage, debentures, unsecured notes, leasing); equity (ordinary shares – new issues, rights issues, placements, share purchase plans; private equity)	Q2, Q3, Q4, Q14, Q25, Q26, Q29, Q41	☐
F2c	Financial institutions – banks, investment banks, finance & life insurance companies, superannuation funds, unit trusts, ASX	Q5	☐
F2d	Influence of government – ASIC, company taxation	Q6, Q27	☐
F2e	Global market influences – economic outlook, availability of funds, interest rates	Q7, Q28, Q45	☐
F3a	Planning and implementing – financial needs, budgets, record systems, financial risks, financial controls; debt vs equity financing (adv/disadv); matching terms and source of finance to business purpose	Q8, Q25, Q26, Q29, Q30, Q45	☐
F3b	Monitoring and controlling – cash flow statement, income statement, balance sheet	Q9, Q10, Q31, Q32	☐
F3c	Financial ratios – liquidity (current ratio), gearing (debt to equity), profitability (gross profit, net profit, return on equity), efficiency (expense ratio, accounts receivable turnover)	Q10, Q11, Q12, Q22, Q33, Q34, Q35, Q36	☐
F3d	Comparative ratio analysis – over time, against standards, with similar businesses	Q11, Q12, Q34, Q36, Q37	☐
F3e	Limitations of financial reports – normalised earnings, capitalising expenses, valuing assets, timing issues, debt repayments, notes to the financial statements	Q13, Q38, Q48	☐
F3f	Ethical issues related to financial reports	Q39	☐
F4a	Cash flow management – distribution of payments, discounts for early payment, factoring	Q14, Q40, Q41, Q49	☐
F4b	Working capital management – control of current assets (cash, receivables, inventories) and current liabilities (payables, loans, overdrafts); leasing, sale and lease back	Q15, Q40, Q42, Q43, Q49	☐
F4c	Profitability management – cost controls (fixed and variable, cost centres, expense minimisation); revenue controls (marketing objectives)	Q16, Q44, Q49	☐
F4d	Global financial management – exchange rates, interest rates, methods of international payment (payment in advance, letter of credit, clean payment, bill of exchange), hedging, derivatives	Q17, Q18, Q28, Q45, Q46, Q47, Q48	☐

Section A — Multiple choice

Circle the best answer. About 1.5 minutes each. A calculator is allowed.

Q1 Roseville Trial 2024 · Q4 **F1b · Financial objectives**

- 4 Liquidity is
- (A) the ability of a business to minimise costs.
 - (B) the ability for a business to increase in size over the longer term.
 - (C) the extent to which a business can meet its financial commitments in the short term (less than 12 months).
 - (D) the extent to which a business can meet its financial commitments in the long term (more than 12 months).
-

Q2 Reddam Trial 2023 · Q4 **F1b · Financial objectives** **F2b · External finance**

4. Which of the following can improve the solvency of a company?
- (A) Obtaining a mortgage to purchase property
 - (B) Issuing commercial bills to raise working capital
 - (C) Organising rights issues to existing shareholders
 - (D) Extending the credit terms for customers
-

Q3 Abbotsleigh Trial 2024 · Q3 **F2b · External finance**

3. A business is offering existing shareholders the opportunity to purchase more shares at a discount.

This is known as what type of equity finance?

- a) New issues
 - b) Existing issues
 - c) Placement plans
 - d) Share purchase plans
-

Q4**Roseville Trial 2024 · Q20****F2b · External finance**

- 20** Which of the following best describes the difference between a rights issue and a share purchase plan?
- (A) A rights issue allows anyone to purchase additional shares at a discount, while a share purchase plan is only available to existing shareholders.
 - (B) A rights issue provides existing shareholders the opportunity to purchase additional shares in proportion to their current holdings, whilst a share purchase plan allows existing shareholders to buy shares without proportional restrictions.
 - (C) A rights issue raises capital by selling new shares to institutional investors, while a share purchase plan raises capital by selling shares to retail investors.
 - (D) A rights issue typically involves issuing new shares at a premium, whereas a share purchase plan offers new shares at market price.
-

Q5**SIC Trial 2024 · Q12****F2c · Financial institutions**

- 12** Which of the following is correct for a unit trust?
- A. Investors buy direct from ASX
 - B. Investor funds are pooled and distributed upon retirement.
 - C. They are only for investment by sophisticated investors
 - D. Investor funds are pooled, and assets purchased on their behalf.
-

Q6**2019 HSC · Q16****F2d · Government influence**

- 16** Which independent federal body ensures that businesses adhere to government regulations, maintain appropriate financial information and provide consumer protection?
- A. Reserve Bank of Australia
 - B. Australian Securities Exchange
 - C. Australian Prudential Regulation Authority
 - D. Australian Securities and Investment Commission
-

Q7**2022 HSC · Q13****F2e · Global market influences**

- 13** Which combination of global market influences would support a business's decision to expand globally?
- A. A depressed economic outlook and low interest rates
 - B. A depressed economic outlook and high interest rates
 - C. An improved economic outlook and low interest rates
 - D. An improved economic outlook and high interest rates
-

- 14 Which of the following is the correct order for financial planning?
- A. Developing budgets, determining financial needs, maintaining record systems, identifying financial risks, establishing financial controls
 - B. Determining financial needs, establishing financial controls, identifying financial risks, maintaining record systems, developing budgets
 - C. Determining financial needs, developing budgets, maintaining record systems, identifying financial risks, establishing financial controls
 - D. Developing budgets, maintaining record systems, identifying financial risks, establishing financial controls, determining financial needs
-

4. Which of the following provides a snapshot of a company's financial position at a given point of time?
- A. Income statement
 - B. Cash flow statement
 - C. Balance sheet
 - D. Break even analysis
-

15 Use the information to answer Question 15.

Balance sheet as at 30 June 2019

	(\$)		(\$)
<i>Current assets</i>		<i>Current liabilities</i>	
Cash	10 000	Accounts payable	10 000
Accounts receivable	5 000	Overdraft	5 000
Stock	8 000		
<i>Non-current assets</i>		<i>Non-current liabilities</i>	
Plant and equipment	35 000	Mortgage	135 000
Land and buildings	292 000		
		<i>Total equity</i>	
		Capital	184 000
		Net profit	16 000
	350 000		350 000

What is the gearing ratio (total liabilities ÷ total equity) for this business?

- A. 0.67 : 1
- B. 0.73 : 1
- C. 0.75 : 1
- D. 0.81 : 1

Use the following information to answer Questions 19 and 20.

Extract from balance sheet for a business as at June 2020

	(\$)
Current assets	1700
Non-current assets	8650
Current liabilities	1100
Non-current liabilities	6500
Additional information	
<i>Financial data 2019</i>	
Debt to equity ratio = 2 : 1 or 200%	
Current ratio = 1.25 : 1 or 125%	
<i>Industry averages for 2019–2020</i>	
Debt to equity ratio (total liabilities ÷ total equity) = 1 : 1 or 100%	
Current ratio (current assets ÷ current liabilities) = 2 : 1 or 200%	

- 19 The liquidity position of this business in 2020 indicates that it is
- A. better than the industry average and has improved since 2019.
 - B. better than the industry average and has worsened since 2019.
 - C. worse than the industry average and has improved since 2019.
 - D. worse than the industry average and has worsened since 2019.
-

Use the following information to answer Questions 19 and 20.

Extract from balance sheet for a business as at June 2020

	(\$)
Current assets	1700
Non-current assets	8650
Current liabilities	1100
Non-current liabilities	6500
Additional information	
<i>Financial data 2019</i>	
Debt to equity ratio = 2 : 1 or 200%	
Current ratio = 1.25 : 1 or 125%	
<i>Industry averages for 2019–2020</i>	
Debt to equity ratio (total liabilities ÷ total equity) = 1 : 1 or 100%	
Current ratio (current assets ÷ current liabilities) = 2 : 1 or 200%	

- 20 The gearing for this business in 2020 indicates that it is
- better than the industry average and has improved since 2019.
 - better than the industry average and has worsened since 2019.
 - worse than the industry average and has improved since 2019.
 - worse than the industry average and has worsened since 2019.

- 14 A hairdresser includes proceeds of the sale of salon equipment in the business's income statement.

Which limitation of financial reporting is evident?

- Timing issues
- Valuing assets
- Normalised earnings
- Capitalising expenses

11. John's hardware has decided to sell his accounts receivables to a factoring company.

What would be the purpose of this?

- To improve cash flow.
- To increase owner's equity.
- To decrease the value of current liabilities.
- To improve the profitability of the business.

- 18 A business owns a \$2 million building with a \$500 000 mortgage. They decide to sell the building and lease it back from the new owners over five years.

What is the likely purpose of this financial strategy?

- A. Reduce liquidity
- B. Reduce cash flow
- C. Improve profitability
- D. Improve working capital

- 8 Which of the following correctly identifies a fixed and variable cost incurred by a business?

	Fixed	Variable
A.	Insurance	Raw materials
B.	Wages	Electricity
C.	Salaries	Insurance
D.	Raw materials	Rent

- 7 An Australian manufacturing business exports products to Japan.

Which of the following best describes the impact of an appreciation in the value of the Australian dollar?

- A. There would be no effect on the Japanese business.
- B. Australian imports from Japan would become more expensive.
- C. Japanese businesses would find Australian products more affordable.
- D. Australian products would become more expensive for Japanese businesses.

13. Globex Corp imports components for their production process from overseas.

Which of the following method of payment results in the most financial risk to Globex Corp?

- A. Payment in advance
- B. Clean payment
- C. Letter of credit
- D. Bill of exchange

Section B — Short answer

Grouped by the four parts of the Finance syllabus. Aim for about 1.8 minutes per mark. A calculator is allowed.

1. Role of financial management

F1a Strategic role of financial management

Q19 Practice question · written for this booklet

F1a · Strategic role of finance

F1b · Financial objectives

3 marks

A family-owned furniture manufacturer plans to double its production capacity over the next three years.

Explain the strategic role of financial management in helping this business achieve its goals.

No past-paper question on this dot point was found in your papers, so this one was written in HSC style.

F1b Objectives of financial management – profitability, growth, efficiency, liquidity, solvency; short-term and long-term

Q20 2023 HSC · Question 24 (b)

F1b · Financial objectives

3 marks

(b) Explain a possible conflict between ONE short-term and ONE long-term financial objective. 3

(c) Why is efficiency a financial objective?

2

Simon's Sporting Goods Pty Ltd is a large sporting goods retailer. The following financial information relates to this business.

Balance Sheet for Simon's Sporting Goods Pty Ltd As at 30 June 2023			
ASSETS	'000s	LIABILITIES	'000s
Cash at bank	800	Accounts payable	1000
Inventories	300	Overdraft	300
Accounts receivable	800		
Plant & Equipment	500	Two-year bank loan	1500
Motor Vehicles	1200	Mortgage	3000
Land & Buildings	4000		
		OWNER'S EQUITY	
		Capital	1000
		Retained Profit	800
Other information Net profit for 2023 - \$300 000 Return on Equity (net profit ÷ total equity) for 2022 = 20% Industry Averages Debt to Equity (total liabilities ÷ total equity) = 2:1 Current Ratio (current assets ÷ current liabilities) = 1:1			

- (b) Using the financial information provided, explain why solvency is an important objective for this business.

4

F1c Interdependence (finance) with other key business functions

Q23 2012 HSC Q22(d) F1c · Interdependence O1c · Interdependence

4 marks

- (d) Explain the interdependence of finance and operations in a business. Support your answer with relevant examples. **4**

2. Influences on financial management

F2a Internal sources of finance – retained profits

Q24 Roseville Trial 2023 · Question 22 (a) F2a · Internal finance

2 marks

- (a) Define retained profits. **2**

Q25 2019 HSC · Question 22 (c)

F3a · Planning & implementing

F2b · External finance

3 marks

(c) Explain ONE disadvantage of equity financing.

3

F2b External sources of finance – debt (short-term: overdraft, commercial bills, factoring; long-term: mortgage, debentures, unsecured notes, leasing); equity (ordinary shares – new issues, rights issues, placements, share purchase plans; private equity)

Q26 Reddam Trial 2023 · Question 22 (d)

F2b · External finance

F3a · Planning & implementing

4 marks

Balance Sheet for Local Grocer Pty Ltd June 2023			
Current Assets		Current Liabilities	
Cash	\$25 000	Accounts Payable	\$35 000
Accounts Receivable	\$45 000	Bank overdraft	\$65 000
Inventory	\$55 000		
Non-Current Assets		Non-Current Liabilities	
Building	\$400 000	Mortgage	\$225 000
Delivery van	\$50 000		
		Owners' Equity	
		Capital	\$200 000
		Retained Profit	\$50 000

Additional financial information:

Return on Owners' Equity ratio for 2022 = 0.1:1

- (d) Compare and contrast TWO sources of debt finance used by Local Grocer Pty Ltd.

4

Q27 2014 HSC Q24(b) F2d · Government influence

4 marks

(b) Explain government influences on the financial management of businesses.

4

Q28 Independent Trial 2024 · Question 23 (c) F2e · Global market influences F4d · Global financial management

4 marks

Food Plus Pty Ltd is a health food grocery store, operating successfully in NSW for the last 10 years. Management is now aiming to expand overseas by opening three stores in the USA in the next two years. There are a number of global market influences which Food Plus Pty Ltd needs to consider in relation to this global expansion.

(c) Explain TWO global influences on the financial management of this business.

4

3. Processes of financial management

F3a Planning and implementing – financial needs, budgets, record systems, financial risks, financial controls; debt vs equity financing (adv/disadv); matching terms and source of finance to business purpose

Q29 2019 HSC · Question 22 (b)

F3a · Planning & implementing

F2b · External finance

3 marks

(b) Explain ONE advantage of debt financing.

3

Below is key financial information for manufacturing business. In the next 3 years the directors plan to invest \$10m into a new manufacturing facility.

	\$ (000)
Revenue	9 000
Accounts receivable	2 500
Cost of goods sold	3 600
Retained profit	1 400
Expenses	3 780

Industry Average:

- Gross Profit Ratio (gross profit ÷ sales) = 50%
- Net Profit Ratio (net profit ÷ sales) = 25%
- Expense Ratio (expense ÷ sales) = 45%

- (c) Describe the importance of the planning and implementing process for this business. **4**

F3b Monitoring and controlling – cash flow statement, income statement, balance sheet

- (a) What is the purpose of a cash flow statement? **2**

- (a) Distinguish between a balance sheet and an income statement.

2

F3c Financial ratios – liquidity (current ratio), gearing (debt to equity), profitability (gross profit, net profit, return on equity), efficiency (expense ratio, accounts receivable turnover)

Financial Information for robotics company

	(\$)
Sales	225 000
Cost of goods sold	105 000
Selling expenses	8 500
Administration expenses	6 000
Financial expenses	4 000
Accounts receivable	30 000
Robotics company credit policy	30 days
Industry expense ratio	10%

- (a) Calculate the accounts receivable turnover ratio (sales ÷ accounts receivable) for this business.

1

Financial Information for robotics company

	(\$)
Sales	225 000
Cost of goods sold	105 000
Selling expenses	8 500
Administration expenses	6 000
Financial expenses	4 000
Accounts receivable	30 000
Robotics company credit policy	30 days
Industry expense ratio	10%

(b) Interpret this business's expense ratio (total expenses ÷ sales).

2

A gifts and homewares business sells goods such as candles, bags, cushions, soaps and jewellery.

They have provided the following financial information.

	(\$)
Operating income (revenue)	1 500 000
Gross profit	1 100 000
Expenses	600 000
Total liabilities	2 000 000
Net profit	500 000
Owner's equity	1 800 000

The family-owned business is considering expansion by opening two new stores. Their bank has given approval to borrow \$3 000 000 at 4% interest to finance their expansion.

- (c) Why is the level of gearing an important consideration for the lender to this business?

3

A luxury Australian handbag business is going to expand. They intend to borrow 30 million US dollars to buy several new retail properties across Australia.

The table shows financial information for this Australian handbag business.

<i>Ratio</i>	<i>Current</i> (Before loan)	<i>Forecast</i> (12 months after loan)
Gross profit	65%	70%
Net profit	21%	18%
Debt to equity	0.85 : 1 or 85%	1.5 : 1 or 150%

- (c) Account for the changes in this business's current and forecast profitability and gearing.

5

Financial Information for robotics company

	(\$)
Sales	225 000
Cost of goods sold	105 000
Selling expenses	8 500
Administration expenses	6 000
Financial expenses	4 000
Accounts receivable	30 000
Robotics company credit policy	30 days
Industry expense ratio	10%

- (d) Explain TWO ways in which comparative ratio analysis can be used by this business to assess its financial position. **4**

F3e Limitations of financial reports – normalised earnings, capitalising expenses, valuing assets, timing issues, debt repayments, notes to the financial statements

Q38 2023 HSC · Question 24 (c) **F3e · Limitations of reports**

5 marks

(c) Explain TWO limitations of financial reports.

5

F3f Ethical issues related to financial reports

Q39 2019 HSC · Question 22 (a) **F3f · Ethical issues in reports**

2 marks

(a) Outline ONE ethical issue related to the preparation of financial reports.

2

4. Financial management strategies

F4a Cash flow management – distribution of payments, discounts for early payment, factoring

Q 40 2020 HSC · Question 24 (c)

F4a · Cash flow management

F4b · Working capital management

3 marks

Financial Information for robotics company

	(\$)
Sales	225 000
Cost of goods sold	105 000
Selling expenses	8 500
Administration expenses	6 000
Financial expenses	4 000
Accounts receivable	30 000
Robotics company credit policy	30 days
Industry expense ratio	10%

- (c) Recommend ONE financial strategy this business could implement to improve efficiency in the collection of accounts receivable. **3**

Q41

2014 HSC Q24(c)

F4a · Cash flow management

F2b · External finance

4 marks

(c) Discuss *factoring* as a strategy for cash flow management.

4

Use the following information to answer questions 23 (a) and (b).

Acme Kitchenware manufactures and sells pots and pans to department stores.

<i>Financial Information for Acme Kitchenware 2022</i>			
Current Assets	(\$)	Current Liabilities	(\$)
Cash	45 000	Accounts Payable	30 000
Accounts Receivable	20 000	Overdraft	45 000
Inventory	30 000		
Non-Current Assets		Non-Current Liabilities	
Vehicles	60 000	Term loan	130 000
Plant and Equipment	220 000		
Goodwill	50 000		
		Owner's Equity	
		Capital	70 000
		Retained earnings	150 000

Additional information:

2021 solvency ratio: 105%

Industry solvency ratio: 70%

(b) How could *Acme Kitchenware* improve their level of working capital?

4

Financial information for Playsmart Child Care Ltd			
Current Assets	\$	Current Liabilities	\$
Cash	40 000	Accounts Payable	100 000
Accounts Receivable	100 000	Bank overdraft	130 000
Inventory	100 000		
Non-Current Assets		Non-Current Liabilities	
Building	320 000	Mortgage	300 000
Delivery van	40 000		
Goodwill	100 000	Owners' Equity	
		Capital	150 000
		Retained Profit	20 000

Additional information:

Debt to equity ratio: Total Liabilities ÷ Total Equity

Gearing industry average: 2:1

(c) Analyse the use of sale and leaseback as a financial management strategy for this business.

5

Q44 Roseville Trial 2023 · Question 22 (d) F4c · Profitability management

4 marks

Consider the financial information below.

Manly Beach Pancakes Store Pty Ltd Income statement year ended 30 June 2022		Industry Average Results
	\$	\$
Sales	150 000	200 000
Cost of goods sold	105 000	100 000
Gross profit	45 000	100 000
Operating expenses		
Administrative	5 000	12 000
Selling & distribution	7 000	15 000
Financial	3 000	3 000
Net profit	30 000	70 000

- Gross Profit Ratio = gross profit ÷ sales
- Net Profit Ratio = net profits ÷ sales

(d) Recommend TWO profitability management strategies that this business could use to improve its profitability result.

4

Q45 2021 HSC · Question 22 (b)

F4d · Global financial management

F3a · Planning & implementing

F2e · Global market influences

3 marks

A luxury Australian handbag business is going to expand. They intend to borrow 30 million US dollars to buy several new retail properties across Australia.

- (b) Explain a financial risk associated with borrowing funds from the USA.

3

Q46 2013 HSC Q24(b)

F4d · Global financial management

4 marks

An Australian-owned business manufactures bicycles in China and sells them to wholesalers in France. These wholesalers do not pay in advance.

- (b) How could this business protect itself against a change in the value of the Australian dollar relative to another currency?

4

A business imports computers from China and sells them to customers in Australia.

- (b) Justify the method of payment that would be most effective in reducing the business's financial risk. **5**

Section C — 20-mark questions

A business report and an essay. Plan in the box, then write on separate paper (about 35 minutes each).

Q48 Roseville Trial 2023 · Question 25

F4d · Global financial management

F3e · Limitations of reports

H1b · Interdependence

20 marks

Aussie Cricket Bats (ACB) Pty Ltd is an Australian cricket bat manufacturing company that hopes to cash in on the newfound popularity of this sport in America by selling cricket bats into this market.

In order to achieve their objective, ACB plans to sell their bats to Americans via

1. their already well-established Australian website.
2. taking ownership over 5 existing retail sporting stores on the east coast of America.
3. becoming a supplier of bats to other established American sporting retail chains.

To fund these ambitious plans, ACB needs to borrow an amount equivalent to \$15 million Australian Dollars. The owners are currently:

- unsure of whether to borrow this money in Australian Dollars from an Australian bank or in US Dollars from an American bank.
- worried about how to staff the 5 American retail sporting stores as well as potentially paying too much for these businesses as they lack accounting expertise.

You have been hired as a consultant by ACB Pty Ltd to write a business report to the owners.

In your report:

- outline how human resources is interdependent with finance in this business.
- explain the limitations of financial reports that this business must be aware of when purchasing the 5 existing American retail sporting stores.
- recommend global financial management strategies that could help to reduce financial risks for this business.

PLAN**Thesis / judgement****Body 1****Body 2****Body 3****Case study evidence****Conclusion**

Write your full response on separate paper — about 35 minutes / 4 pages.

Evaluate the effectiveness of financial management strategies used to achieve profit and growth objectives.

PLAN

Thesis / judgement

Body 1

Body 2

Body 3

Case study evidence

Conclusion

Write your full response on separate paper — about 35 minutes / 4 pages.